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Is This Gambling, or What?

“Gentlemen prefer bonds.”

—Andrew Mellon

After major upsets such as the Hiccup of Last October, some investors have taken refuge in bonds. This issue of stocks versus bonds is worth resolving right up front, and in a calm and dignified manner, or else it will come up again at the most frantic moments, when the stock market is dropping and people rush to the banks to sign up for CDs. Lately, just such a rush has occurred.

Investing in bonds, money-markets, or CDs are all different forms of investing in debt—for which one is paid interest. There’s nothing wrong with getting paid interest, especially if it is compounded. Consider the Indians of Manhattan, who in 1626 sold all their real estate to a group of immigrants for \$24 in trinkets and beads. For 362 years the Indians have been the subjects of cruel jokes because of it—but it turns out they may have made a better deal than the buyers who got the island.

At 8 percent interest on \$24 (note: let’s suspend our disbelief and assume they converted the trinkets to cash) compounded over all those years, the Indians would have built up a net worth just short of \$30 trillion, while the latest tax records from the Borough of Manhattan show the real estate to be worth only \$28.1 billion. Give Manhattan the benefit of the doubt: that \$28.1 billion is the assessed value, and for all anybody knows it may be worth twice that on the open market. So Manhattan’s worth \$56.2 billion. Either way, the Indians could be ahead by \$29 trillion and change.

Granted it’s unlikely that the Indians could have gotten 8 percent interest, even at the kneecracker rates of the day, if in fact there were kneecracker rates in 1626. The pioneer borrowers were used to paying much less, but assuming the Indians could have wangled a 6 percent deal, they would have made \$34.7 billion by now, and without having to maintain any property or mow Central Park. What a difference a couple of percentage points can make, compounded over three centuries.

However you figure it, there’s something to be said for the supposed dupes in